

Association of Apartment Owners Na Hale O Makena — Unit Modification Policy

General

This Unit Modification Policy contains rules and regulations regarding the modification, alternation, additions and renovations in units and limited common elements at Na Hale O Makena. This Policy is supplementary to the Declaration of Condominium Property Regime of Na Hale O Makena ("Declaration") and By-Laws of the Association of Apartment Owners of Na Hale O Makena Association (the "Bylaws"), and House Rules.

This Policy is made pursuant to Hawaii Revised Statutes ("HRS") § 514B-140 and Section 6.4 of the Bylaws. The purpose of this Policy is to protect the structural integrity of the buildings and common elements at Na Hale O Makena, to ensure that work performed is properly conducted, to protect occupants from annoyance and nuisance, and to protect the reputation and desirability of Na Hale O Makena.

All Owners, Tenants, and their contractors, employees, licensees, agents, representatives and invitees are required to adhere to the rules and regulations set forth in this Policy.

When owners intend to alter, add to, modify or renovate their units, the Association must be notified in advance, in writing, of the intended activity. Most projects will have some impact on other residents or the common elements and it is required that the Board of Directors ("Board") and the General Manager be aware of what is planned and what can be expected during the project.

Regardless of who the owner engages to perform work, the owner remains responsible for compliance with all legal requirements, Declaration, Bylaws, and House Rules, and will be responsible to the Association for all costs of review, approval, investigation, and repair for any requested work approval or resulting damage to common areas or other apartments, and for restoration of any modification to common walls or load-bearing walls.

The General Manager can provide Modification Request forms and all Board approved specifications for modifications and renovations. It is imperative that any improvements be made in compliance with Board approved specifications and receive written approval from the Board prior to beginning construction.

Work Requirements

1 Work Prohibited

No unit owner shall do any work that may jeopardize the soundness or safety of the property, reduce the value thereof, or impair any easement, as reasonably determined by the Board.

2 Work Requiring Board Approval

No owner shall undertake any addition to, modification of, remodel of, renovation of, or alteration of, his or her unit, limited common elements or common elements ("Work") without first obtaining the written approval of the Board. Work includes, but is not limited to, modifications, butting, scoring, cutting,

drilling into, or chiseling into any common element, including interior load-bearing walls, and any activity that includes removing, adding or altering anything structurally other than what is currently installed in the unit or on lanai. Work includes anything that would alter the outside appearance of the unit or building, moving the washer dryer, or alter plumbing lines and electrical conduits. Tiling or cabinets inside the unit are not included unless they structurally change plumbing, electrical or other common elements.

Approval Process

3 Application

To obtain Board approval, owners must submit the Modification Request Application ("Application") to the Board, a copy of which is attached to this Policy. The Application shall also include at least all of the following:

- a. A design plan with detailed drawings, photographs and/or specifications and all measurements for the installation of the proposed Work, including stamped engineering and/or architectural drawings.
- b. Copies of any necessary permits required (e.g., County, SMA).
- c. The name of a Hawaii licensed and insured contractor performing the work (company name and license number), and contact information for the contractor and subcontractors.
- d. Verification of current liability insurance in the amount of at least One Million Dollars (\$1,000,000.00) and workers compensation insurance of all installers and sub-contractors performing work on the project.
- e. If required by the Board, a Performance and Completion Bond equal to or greater than the total cost of the work.

The Board may require further information as, in its sole discretion, it believes necessary to ascertain whether the proposed Work falls within the rules and regulations.

If there have been any design layout modifications from the original "as built" plans and specifications submitted to the Board, the owner must immediately provide a copy of the new layout to the General Manager. Design modifications include, but are not limited to, the removal or relocation of any walls, doorways, appliances or plumbing.

4 Costs

The owner shall pay for all expenses which have been or are likely to be incurred in connection with the application review and Work inspection. Expenses may include any professional, including but not limited to, an architect or structural engineer, that is necessary for the Work. A reasonable deposit towards these fees, subject to change, may be required by the Board. The Board may hire a consultant, at the expense of the owner, for application review, Work inspection and damage review incidents to report to the Board.

5 Approval

The Board shall approve the application if it meets the requirements set forth herein, and if in the Board's reasonable opinion, the proposed Work has been designed and specified to reduce or mitigate adverse

visual or other impacts to common elements and other units.

All work is subject to inspection by General Manager, Board and/or the Board's designated representative. The Board reserves the right to stop or delay any work which has not been approved or deviates from the approved scope. If at any time during the course of work the Contractor is ordered to stop work by the Board, all work will cease immediately and will not resume without specific written authorization from the Board allowing resumption of work.

Contractors

Chapter 444 of the Hawaii Revised Statutes (HRS) requires that a licensed contractor be hired for any construction work which is more than \$1,500 or for which a building permit is required.

The contractor law exemption of \$1,500 is commonly referred to as the "handyman" exemption. The handyman exemption permits the hiring of a person not licensed as a contractor if the total cost of the project including labor, materials, taxes, and all other items if equal to, or less than \$1,500.

All plumbing or electrical work must be performed by Hawaii licensed contractors.

This exemption does not apply in any case where:

1. a building permit is required no matter what the total contract price is;
2. for electrical and plumbing work;
3. where the work is parceled out into multiple projects.

Certificate of Insurance

The contractor must provide a current copy of their license and certificate of insurance to the General Manager prior to the commencement of any work. For significant extensive remodels, the Association may require the certificate of insurance to name the Association as an additional insured.

Contractor Conduct

1. The contractor must abide by the Declaration, Bylaws, House Rules and this Policy at all times. It is the owner's responsibility to advise the contractor of the Association's governing documents. Owners shall provide a copy of this Policy and the House Rules of the Association to all persons performing work at or in the Unit.
2. There will not be any work performed or anything stored in the walkways or common areas at any time.
3. Contractors or workers may not leave pets in work trucks in the parking lot or have them present on the job site.
4. Contractors must wear shirts, appropriate footwear and exercise professional decorum.
5. Contractors must register with the General Manager. Contractors will be issued a temporary parking permit, which must be displayed on the driver's side of the front dashboard of the vehicle. Contractors must park at in spaces designated by the General Manager, unless granted special permission by the General Manager.

6. Contractors shall not use the Association's equipment, or the dumpsters for their refuse and must promptly haul off discarded materials. No materials are to be dumped down the trash chutes.
7. Contractors must hang protective pads if furniture, lumber, or other bulky items are to be moved between floors. No doors to the building or units are to be propped open unattended.
8. Contractors must give twenty-four (24) hours advance notice to the General Manager regarding any work that will be making excessive loud noise, such as the use of heavy equipment for jack hammering, tile cutting, and saw cutting.
9. No construction activity may be conducted in the any common area on property. No construction materials or items may be stored in the common elements. The cleaning of tools and equipment must be done in the unit or off property. Unit sinks, tubs, showers and common element drains are not to be used for this purpose.
10. The Association will not coordinate deliveries or activities.
11. All power equipment must be operated indoors, unless otherwise approved in writing by the Association.
12. No radio or music may be played outside the unit. Radio, television and any music played inside the unit must be kept at a level not to be heard outside the unit or adjacent units.
13. Drinking alcoholic beverages or use of drugs on the job site is prohibited. Contractors must abide by House Rules and State regulations regarding smoking.
14. The Board, through its managing agent and/or Manager, reserves the right to eject any worker who is determined by the Association to be engaging in any activity that violates the rules and regulations of the Association.

Working Hours

Working hours are 8 AM to 5 PM Monday through Friday. Work on weekends and State and federal holidays must have prior written approval by the General Manager. Immediate fines may be assessed for non-compliant construction work or noise.

Debris

1 Containment

Demolition and construction debris must be contained within the unit or sealed within the lanai. The sealing must be removed each night and all debris removed unless prior written approval is obtained from the Board.

2 Cleaning

All debris must be removed from the premises by the owner and contractor at their expense. This includes demolition materials, appliances, furniture, and work materials. The Owner/Contractor must keep the walkways and common areas clean at all times. Debris dropped or spilled must be cleaned up immediately.

Any flammable debris must be removed from the unit at the end of each day's work. Hazardous materials must not be left on premises overnight.

No activity shall be engaged in and no substance be brought into or manufactured within any unit or building which might be in violation of the law or Bylaws of the Association or which might cause a cancellation or increase in the Association's insurance without the approval of the Board.

3 Disposal

All debris must go to the landfill. Contractors are not permitted to use the trash disposal for construction debris. Small amounts of trash may be placed in the AOA dumpster only upon prior approval by the General Manager.

No paint or toxic fluids may be put in parking lot drain or dumpsters.

Water Shut Off

The Owner and Owner's Contractor are prohibited from shutting off the water to the unit or any portion of the building at any time. If a water shut off is required it must be scheduled 48 hours in advance, unless an emergency repair is required. Only the owner or on-island representative is authorized to turn the water off or on.

Damage to Common Areas

The owner is responsible for the cost of repairs to any common areas that are damaged by the contractor.

Storage of Construction Materials

Materials used in construction may not be stored on the lanai without written authorization from the General Manager. Any items approved for storage on the lanai must be stored in a neat and orderly manner. If construction occurs on the lanais, construction sheets must be erected to seal the lanai and prevent dust, wood and other debris from escaping.

Use of Association Employees or Equipment

Contractors may not hire or use the services of Association employees, equipment, tools or facilities in the performance of their work. Contractors must use their own dollies and hand carts.

Federal, State, Local Laws and Ordinances

The owner and contractor must comply with all laws, ordinances and building codes in conjunction with their work.

Fine Schedule

Fines will be \$100.00 for each incident that is in non-compliance with this Policy and doubled for each repeated incident until resolved. Fines may be assessed with notice to the owner.

Flagrant and material disregard of the requirements, guidelines and policies set forth in this document may result in an enhanced fine (without prior warning required) in an amount determined by the Board. Enhanced fines not to exceed (a) \$1,000 (plus any Association expenses for repairs, permits, inspections,

professional fees, labor, material, and legal expense) in the absence of damage to Association or other unit property, or (b) the greater of \$1,000 plus three times all actual damages and costs (including but not limited to repairs, permits, inspections, professional fees, labor, material, and legal expense) in the event of damage to Association or other unit property. The Board may require payment, reimbursement, defense, and indemnification for any claim, loss, or damage to person or property as a result of remodel activity, whether approved or not.

If Work is not completed in a timely manner and creates a hazardous condition or nuisance, the Association has the right, but not the obligation, to fine for uncompleted work and take all other legal action available to it.

Association of Apartment Owners Na Hale O Makena — Modification Request Application

Date of this application: _____

Unit Number: _____

Printed Name of Owner(s): _____

Contact phone numbers and email addresses for owner(s): _____

DETAILED DESCRIPTION OF REMODEL WORK (SUBMIT PLANS AS APPLICABLE AND ATTACH ANY ADDITIONAL SHEETS AS MAY BE NECESSARY)

Electrical:

Plumbing:

Structural:

Any drilling, cutting, chiseling, or other alteration of any concrete wall, ceiling, floor or other concrete:

Demolition:

Other:

Permits:

CONTRACTOR: ADDRESS: LICENCE(S) #s: PHONE: EMAIL:

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Desired work start date: _____

Expected work duration: __ days

As required by the Unit Modification Policy, included with this application are the following (please initial each line):

_____ A design plan with detailed drawings, photographs and/or specifications and all measurements for the installation of the proposed Work, including stamped engineering and/or architectural drawings.

_____ Copies of any necessary permits required (e.g., County, SMA).

_____ Copies of current liability insurance in the amount of at least One Million Dollars (\$1,000,000.00) and workers compensation insurance of all installers and sub-contractors performing work on the project.

_____ Performance and Completion Bond equal to or greater than the total cost of the work (if required)

I represent to the Association that I have supplied all contractors/workmen a copy of the Unit Modification Policy and have explained other House Rules governing such activities. I understand that the Board may require a deposit as part of this Application.

Printed Name of Owner	Printed Name of Owner
Owner Signature	Owner Signature
Date	Date